Brand Counterextensions: The Impact of Brand Extension Success versus Failure

Author(s): Piyush Kumar

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PIYUSH KUMAR*

In this article, the author investigates the impact of a brand extension's success versus failure on customer evaluation of brand counterextensions. A counterextension is a brand extension that is launched into Category A by Brand 2 that belongs to Category B in a reciprocal direction to a launch of a previous extension into Category B by Brand 1 that belongs to Category A. The results from five studies show that customers evaluate a counterextension more favorably when the preceding extension is a success rather than a failure. Furthermore, the evaluation of the counterextension is superior if it is launched by a major brand, especially if the previous successful extension was also launched by a major brand. Finally, a successful extension indirectly dilutes a brand and results in a greater loss in choice share to a counterextension than does a failed extension. The key findings generalize to a sequence of extensions across more than one intercategory boundary.

Brand Counterextensions: The Impact of Brand Extension Success Versus Failure

A well-accepted strategy to enter new markets is to take advantage of an existing brand's equity and launch brand extensions into related product categories (Aaker 1991). Yet despite the popularity of extensions-led new product strategy, marketers are concerned about the negative impact that brand extensions may have on the parent brand (Gibson 1990). However, the empirical evidence on this issue is mixed. Loken and John (1993) find that unsuccessful extensions can dilute a brand by diminishing the attribute-specific beliefs that are associated with it, but other studies find that brand equity is not diluted by unsuccessful extensions (John, Loken, and Joiner 1998; Keller and Aaker 1992) and may even be enhanced if high-quality products are added to the brand portfolio (Dacin and Smith 1994).

Previous research on the reciprocal effects of brand extensions focuses on whether the failure, poor quality, or low typicality of an extension has an adverse effect on parent brand evaluations. However, it does not explore whether an extension can also indirectly dilute a brand by having a favorable effect on the evaluation of extensions that other brands may launch into its parent category. It is important to account for this overlooked aspect of brand "dilution" because new product activity across product categories rarely ceases after one brand (hereinafter Brand 1) extends from its original category, A, into a new category, B. Often, a brand that belongs to Category B (hereinafter Brand 2) subsequently launches an extension back into Category A. This latter extension by Brand 2 is a counterextension to the preceding extension by Brand 1. Such counterextensions follow previous extensions in many product markets, such as water filters (Brita faucet-mounted filters followed PUR pitcher-based filters), disposable tableware (Chinet paper cups followed Dixie paper plates), breakfast foods (Cheerios breakfast bars followed Sunbelt breakfast cereal), energy foods (Gatorade energy bars followed Balance energy drinks), and flavored syrup (Smucker's chocolate syrup followed Hershey's strawberry syrup). More broadly, computer hardware brands, such as Dell and Gateway, have launched counterextensions into consumer electronics subsequent to the entry by consumer electronics brands, such as Sony and Toshiba, into the computer hardware market. Although a counterextension may not necessarily be launched in retaliation to a previous extension, it is clear that if an extension's success improves customers' response toward a counterextension, the consequences for the brand portfolio could be significant. Therefore, it is necessary to understand the interplay between extensions and counterextensions to better estimate the overall risk from a brand extension to the parent brand.

In this article, I examine the reciprocal impact of a brand extension from this new perspective and assess whether the success versus failure of an extension affects customer eval-

*Piyush Kumar is Assistant Professor of Management, Owen Graduate School of Management, Vanderbilt University (e-mail: piyush.kumar@owen.vanderbilt.edu). The author thanks the two anonymous *JMR* reviewers and seminar participants at Vanderbilt University for their comments and suggestions on a previous draft of the article.

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uation of a counterextension. I report results from five studies that demonstrate that a successful brand extension increases customer perceptions of similarity between parent and extension categories and improves customer response toward a counterextension. I conclude with a discussion of the findings and outline avenues for further research on brand counterextensions.

THEORETICAL BACKGROUND

Reciprocal Effects of Brand Extensions

A successful extension can have a positive reciprocal effect and can help strengthen the memory structures for the parent brand (Morrin 1999), reinforce brand-specific associations (Dillon et al. 2001), induce trial of the brand among nonusers (Swaminathan, Fox, and Reddy 2001), and increase the brand's choice share (Balachander and Ghose 2003). In contrast, an unsuccessful extension can diminish the attribute-specific beliefs that are associated with the brand and adversely affect its market share (Loken and John 1993).

Previous research on the reciprocal effects of brand extensions focuses on the positive correlation between an extension's success, typicality, or quality and parent brand evaluation. It tends to underplay ongoing competitive interactions between brands across category boundaries and does not examine whether even desirable characteristics of an extension, such as its success, can have a negative effect on the brand. However, related work on a sequence of extensions suggests that the outcome of previous intervening extensions launched by the focal brand influences customers' interpretation of a brand extension (Keller and Aaker 1992). Therefore, it appears reasonable that intervening extensions launched by brands that belong to the extension category may also influence how customers interpret a proposed brand extension.

Categorization and Customer Evaluation of Brand Counterextensions

Customers divide the products around them into categories to process their environment more efficiently (Rosch and Mervis 1975; Sujan and Dekleva 1987). Although the boundaries between product categories are not necessarily well defined (Vishwanathan and Childers 1999), clear cases or prototypes that contain the attributes that are the most representative of items inside the category and least representative of those outside help increase the perceptual separation between neighboring categories. Brands often serve as the prototypes and category cues, and they help increase intercategory separation. The validity of a brand as a category cue increases with a rise in the frequency of association between the brand name and the category (Tversky 1977). Therefore, all else being equal, contiguous categories tend to be more differentiated if they have unique brands than if they share common brands.

When a brand extension succeeds and is accepted as a member of the extension category, the number of elements that are unique and distinctive to the parent and extension categories decreases, and the number of elements that are common between them increases. This is likely to increase category resemblance, which depends on the difference between the weighted sum of the common and unique features of the two categories (Tversky 1977). However, when the extension fails and is not accepted as a member of the extension category, the common and unique elements of the parent and extension categories and, consequently, perceptions of intercategory similarity revert back to preextension levels.[1]

An increase in intercategory similarity following a successful extension from Category A into Category B improves customer perception of the fit between the two categories.[2] In turn, a higher level of fit facilitates the transfer of the beliefs, affect, and quality perceptions that are associated with Brand 2 and improves the overall evaluation of its counterextension into Category A (Cohen and Basu 1987; Keller and Aaker 1992; Meyers-Levy and Tybout 1989). However, a failed extension maintains customer perceptions of the distinctiveness of the two categories, confirms customer beliefs about the lack of fit between the two, and makes the customer skeptical about the counterextension (Bousch and Loken 1991). Therefore, I hypothesize the following:

H_1: Customer evaluation of a counterextension by Brand 2 from Category B into Category A is more favorable when a previous brand extension by Brand 1 from Category A into Category B is a success than when it is a failure.

H_2: Changes in customer perceptions of the similarity between the parent and extension categories mediate the relationship between the success versus failure of a brand extension and customer evaluation of a brand counterextension.

Impact of the Extension Brand

The evaluation of the counterextension by Brand 2 is likely to depend on whether Brand 1, which launched the previous extension, is a strong, major brand in Category A or a weak, minor brand. In this context, brand strength can be conceptualized in terms of a brand's dominance or category share (Vickers and Hay 1987). A major brand tends to exhibit a strong brand-to-category association or typicality and a strong category-to-brand association or cognitive dominance (Farquhar, Herr, and Fazio 1990). However, although a minor brand may exhibit strong brand-to-category association, it tends to have a weak category-to-brand association.

A successful extension of a major rather than a minor brand results in a larger increase in the weight of the shared attributes between Categories A and B and, consequently, a greater improvement in the perceptions of similarity between the two. Therefore, a counterextension by Brand 2 is evaluated more favorably if Brand 1, which launched the preceding successful extension, is a major rather than a minor brand in Category A. However, because a failed extension by Brand 1 neither creates new common attributes between Categories A and B nor takes away any existing shared attributes, the perceptual separation between the

[1]However, as an anonymous reviewer pointed out, a repeated failure of brands to extend from one category into another category may reinforce customer beliefs about the distinctiveness of the two categories and potentially increase intercategory separation.

[2]Fit is based on perceptions of the product features, the needs that the products satisfy, and the beliefs about the transferability of skills to make products in the two categories (Aaker and Keller 1990; Smith and Park 1992).

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categories persists regardless of whether Brand 1 is a major brand or a minor brand. Therefore, following a failed extension, the evaluation of a counterextension is the same regardless of whether Brand 1 is a major or a minor brand. Therefore, I hypothesize the following:

H_3: Customer evaluation of a brand counterextension from Category B into Category A is more favorable when a major rather than a minor brand launches the preceding successful brand extension from Category A into Category B.

Impact of the Counterextension Brand

Major brands also signal better quality and more easily transfer brand associations onto their extensions than do minor brands (Wernerfelt 1988). Therefore, extensions of major brands tend to be stronger than those of minor brands (Reddy, Holak, and Bhat 1994; Smith and Park 1992). This suggests that the quality perceptions of the counterextension are more favorable and its evaluation is superior if Brand 2 is a major rather than a minor brand in Category B. Moreover, quality perceptions and other positive associations are more easily transferred to the counterextension when the similarity between Categories A and B is high (Cohen and Basu 1987). As I hypothesized, the similarity between the two categories is high when the preceding extension into Category B is successful, especially if Brand 1, which launched it, is a major brand in Category A. As a result, the evaluation of the counterextension depends on the interaction among the outcome of the previous extension, the brand in Category A, and the brand in Category B. Therefore, I hypothesize the following:

H_4: Customer evaluation of a counterextension into Category A is more favorable if Brand 2, which launched it, is a major brand in Category B rather than a minor brand.

H_5: The difference between customer evaluation of a counterextension of a major brand and a counterextension of a minor brand into Category A is greater (a) when the preceding extension from Category A into Category B is a success rather than a failure and (b) when the preceding successful extension into Category B is launched by a major brand in Category A rather than by a minor brand.

STUDY 1

I designed Study 1 to test H_1–H_5. Study participants were adult men and women who were approached in a shopping area and asked to complete a questionnaire after receiving information about hypothetical brand extensions and counterextensions of real brands. I used real brands because I wanted participants to have prior knowledge about the relationships between the brands and their respective categories. However, I used hypothetical extensions because I wanted participants to respond to the study manipulations.

Pretests

The objectives of the pretests were to identify (1) two product categories across which customers perceived extensions to be moderately feasible but not trivial and (2) a pair of major and minor brands within each. The participants in the pretests were adults who were randomly approached in a shopping area and given $2 each for participation.

Pretests 1 and 2. The objective of the first two pretests was to identify a pair of brands in two related categories such that all four brands had a strong brand-to-category relationship but only the major brand in each category had a strong category-to-brand relationship. In the first pretest, I used data on published market shares and developed a list of small and large brands of products available in the supermarket. Each brand focused largely on a single product category, and 25 participants were asked to list all the products they associated with each brand name on the list. In the second pretest, a new sample of 25 participants was presented with a list of products that represented the brands in the first pretest and was asked to list all the brands associated with each category. On the basis of the pretests, I selected laundry detergent as the first category, with Tide and Purex as the major and minor brands, respectively. I selected dishwashing detergent as the second category, with Cascade and Electrasol as the major and minor brands, respectively. All the participants in the first pretest associated the correct product category with each of the four brands. In the second pretest, whereas all the participants associated the two categories with the respective major brands, fewer than 15% associated the categories with the chosen minor brands.

Pretest 3. In the third pretest, I assessed perceptions of intercategory similarity and skill transferability across the two chosen categories. A new sample of 50 participants completed a questionnaire. Their perceived similarity between the laundry detergent and the dishwashing detergent categories, which was measured with a four-item (needs satisfied; occasions used; skills required; and features, ingredients, and attributes) seven-point scale (Cronbach's $\alpha = .92$), was moderately high ($\bar{X} = 4.06$). The perceived difficulty for a laundry detergent manufacturer to make a good dishwashing detergent, which was measured using a seven-point scale (ranging from "not difficult at all" to "very difficult"), was moderately high ($\bar{X} = 3.72$). Statistically, this was no different from the perceived difficulty for a dishwashing detergent manufacturer to make a good laundry detergent ($\bar{X} = 3.86$, $t_{49} = -.91$, $p > .10$). The pretests yielded two reasonably similar product categories with symmetric skill transferability and major and minor brands within each.

Procedure and Measurement

The participants were 320 adult men and women who were approached in a shopping area, paid $5 each for their cooperation, and randomly assigned to one of the conditions. Three factors were manipulated in a 2 (previous extension into the dishwashing detergent category: success versus failure) × 2 (laundry detergent brand: Tide versus Purex) × 2 (dishwashing detergent brand: Cascade versus Electrasol) between-subjects design with two control groups. In each control group, there was no mention of a prior extension into the dishwashing detergent category, and participants evaluated an extension of either Cascade or Electrasol into laundry detergents.

The cover story that accompanied the questionnaire contained an excerpt, supposedly from an article in a popular business magazine, about new products that were recently introduced into the marketplace. It briefly described seven hypothetical brand extensions of real brands that were

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either successful and well received or unsuccessful and poorly received by the market. Six extensions, divided into two equal groups of successful and failed products, were held constant across the conditions.[3] The seventh product was the focal extension into the dishwashing detergent category and was manipulated according to the experimental design. The story also listed two new products that were expected to be launched in the market soon. One of these was a control product that was held constant across all conditions. The other was a brand extension of either Cascade or Electrasol into laundry detergents. The respondents were told that the two new products were not yet available but that their responses to them were of interest.

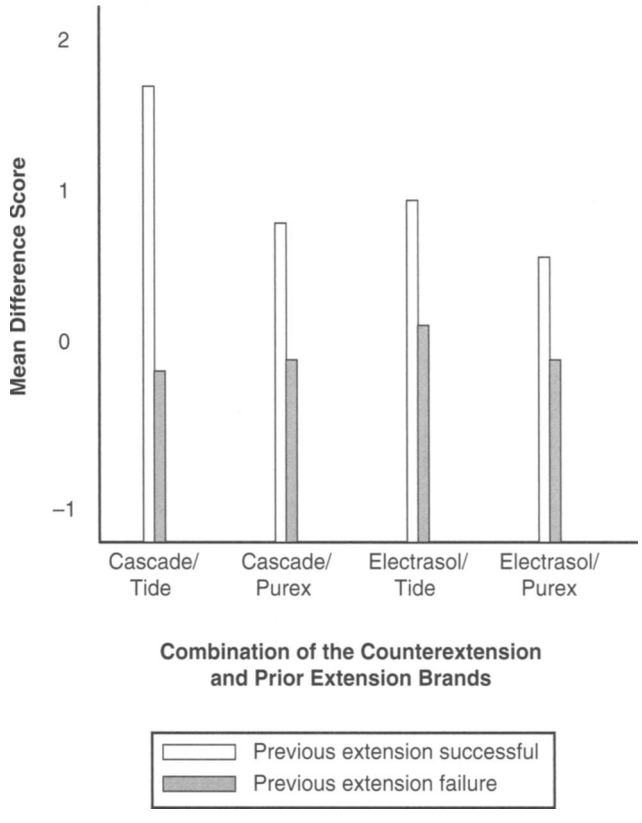
Dependent Measures

Participant reported their overall evaluation of the focal counterextension and the control product using a four-item (low quality/high quality, inferior/superior, negative/positive, not likely to buy/very likely to buy) seven-point semantic differential scale (Cronbach's $\alpha = .91$). They also reported perceptions of similarity between the laundry detergent and the dishwashing detergent categories using a four-item scale that was similar to the scale used in the third pretest (Cronbach's $\alpha = .87$), and they reported their familiarity with the counterextending and the control brands using a three-item (familiar/heard of/can recognize) seven-point semantic differential scale (Cronbach's $\alpha = .82$).

Results

Overall evaluation of the brand counterextension. Following Broniarczyk and Gershoff's (2003) work, I tested the hypotheses using data on the difference between the overall evaluation in the experimental conditions and the respective control conditions. Specifically, for each of the eight experimental conditions, I computed the difference between the evaluation of the counterextension of Brand 2 and the evaluation in the control condition involving the same Brand 2.[4] Figure 1 displays the average difference scores for the eight conditions. I analyzed the difference score data using a $2 \times 2 \times 2$ analysis of variance (ANOVA) with familiarity with the counterextending brand as a covariate ($F(8, 247) = 82.36$, $p < .01$).[5] The coefficient for the familiarity covariate was not significant ($F(1, 247) = .53$, $p > .10$), and it did not interact with the treatment or treatment interactions. The results of the ANOVA (see Table 1, Panel A) show that the main effects of the manipulated variables, all two-way interactions but one, and the three-way interaction were statistically significant ($p < .01$).

Figure 1
DIFFERENCE SCORES FOR OVERALL EVALUATION OF THE COUNTEREXTENSION INTO THE LAUNDRY DETERGENT CATEGORY FOR STUDY 1



Consistent with H_1, the mean difference score was significantly greater than zero ($\bar{X} = .96$, $t_{127} = 20.71$, $p < .01$) when the prior dishwashing detergent extension was successful but marginally lower than zero ($\bar{X} = -.06$, $t_{127} = -1.81$, $p < .10$) when it was a failure. As I hypothesized in H_3, the mean difference score was higher when the preceding successful extension was launched by Tide ($\bar{X} = 1.27$) rather than by Purex ($\bar{X} = .66$, $F(1, 123) = 103.73$, $p < .01$). However, the mean difference score was the same whether the prior failed extension was launched by Tide ($\bar{X} = -.08$) or by Purex ($\bar{X} = -.04$, $F(1, 123) = .27$, $p > .10$).

Furthermore, as I hypothesized in H_4, the difference score for the Cascade counterextension ($\bar{X} = .53$) was greater than the difference score for the Electrasol counterextension ($\bar{X} = .36$, $F(1, 247) = 13.65$, $p < .01$). In addition, as I hypothesized in H_{5a}, the difference between the evaluation of the Cascade counterextension under the success versus failure conditions ($\bar{X}_{Cascade/success} = 1.20$; $\bar{X}_{Cascade/failure} = -.13$) was greater than the difference between the evaluation of the Electrasol counterextension ($\bar{X}_{Electrasol/success} = .72$; $\bar{X}_{Electrasol/failure} = .01$; $F(1, 247) = 44.75$, $p < .01$). Finally, the brand name of the previous successful extension (Tide versus Purex) resulted in a greater difference between the evaluation of the Cascade counterextension ($\bar{X}_{Cascade/Tide/success} = 1.62$; $\bar{X}_{Cascade/Purex/success} =$

[3]I thank an anonymous reviewer for pointing out that the use of both successful and failed extensions in the scenario removes priming as an alternative explanation for the results.

[4]The mean evaluation of the Cascade extension in the control condition was 4.57, and the mean evaluation of the Electrasol extension in the control condition was 3.95.

[5]I analyzed the data on the evaluation of the control product, which was described in the cover story as the second new product, using a one-way ANOVA with familiarity with the brand as a covariate. The results show that the manipulations did not have an effect on the evaluation of the control product ($F(10, 309) = .95$, $p > .10$).

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Table 1
STUDY 1

A: ANOVA Results for Evaluation of the Laundry Detergent Extension[a]			
Variable	*Mean Square*	*d.f.*	*F-Value*
Familiarity	.07	1	.53
Prior extension outcome (success versus failure)	67.32	1	494.10*
Extension brand (Tide versus Purex)	6.66	1	48.92*
Counterextension brand (Cascade versus Electrasol)	1.86	1	13.65*
Outcome × extension brand	5.19	1	38.15*
Outcome × counterextension brand	6.10	1	44.75*
Extension brand × counterextension brand	.24	1	1.82
Outcome × extension brand × counterextension brand	1.90	1	14.00*

B: Mediation Analysis Results			
	Regression Coefficient[b]		
Variable	*Similarity*	*Evaluation*	*Evaluation*
Prior extension outcome (success versus failure)	.69*	.38*	.06
Extension brand (Tide versus Purex)	.11**	.10***	.05
Counterextension brand (Cascade versus Electrasol)	–.15**	–.02	.04
Outcome × extension brand	.28*	.14***	–.01
Outcome × counterextension brand	–.03	.17**	.21
Extension brand × counterextension brand	–.07	–.13***	–.09
Outcome × extension brand × counterextension brand	.07	.32*	.30*
Similarity			.53*
Similarity × counterextension brand			–.08

*$p < .01$.
**$p < .05$.
***$p < .10$.
[a]The dependent variable is the difference score for the overall evaluation of the counterextension.
[b]The numbers are standardized regression coefficients. "Similarity" and "Evaluation" represent the difference scores for the respective variables. The coefficients in the first two columns are from estimation using seemingly unrelated regression.
Notes: d.f. = degree of freedom.

.78) than between the evaluation of the Electrasol counterextension ($\overline{X}_{Electrasol/Tide/success} = .90$; $\overline{X}_{Electrasol/Purex/success} = .53$; $F(1, 123) = 15.39$, $p < .01$). This finding is in support of H_{5b}.

Mediation analysis. I conducted additional analyses using data from the eight conditions, excluding the two control conditions, to test whether the perceptions of similarity between the dishwashing detergent and the laundry detergent categories mediated the relationship between the manipulated variables and the evaluation of the counterextension (Baron and Kenney 1986). I ran seemingly unrelated regressions with the difference scores for the evaluation of the counterextension and for perceived similarity between the categories as the two dependent variables and the three manipulated variables and the interactions among them as the independent variables.[6] I report the results from the regressions in the first two columns of Table 1, Panel B. The results show that the outcome of the laundry detergent extension, the brand that launched it, and the interaction between the two had an effect on the difference score for similarity (i.e., the potential mediating variable). The manipulations and the interactions among them also had an impact on the difference score for overall evaluation (i.e., the dependent variable). I then estimated the regression for the difference score for overall evaluation and added the difference score for similarity, the mediating variable, and its interaction with the dishwashing detergent brand name as additional explanatory variables. I report the results from this regression in the third column of Table 1, Panel B. The results show that the effects of the outcome of the previous extension, the brand that launched it, and the interaction between the two were weakened and were no longer statistically significant ($p > .10$). However, the parameter for similarity was statistically significant ($p < .01$). The results support H_2 and suggest that intercategory similarity mediated the relationship among the outcome of the previous extension, the brand that launched it, and the evaluation of the counterextension.

Discussion

The results from Study 1 support the hypotheses regarding the evaluation of brand counterextensions. Participants evaluated the counterextension into the laundry detergent category more favorably than the control condition when the preceding extension into the dishwashing detergent category was a success but not when it was a failure. Furthermore, the evaluation of the counterextension was superior when the preceding successful extension was launched by Tide, the major brand, rather than by Purex, the minor brand. Finally, participants evaluated the counterextension of Cascade, the major brand, more favorably than the

[6]I used seemingly unrelated regressions to account for any correlated errors caused by response style bias in answering the survey questions. I computed the difference scores for intercategory similarity analogously to those for overall evaluation.

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counterextension of Electrasol, the minor brand. The results are also consistent with the theoretical premise, and the similarity between the laundry detergent and the dishwashing detergent categories mediated the relationship between the outcome of the extension and the evaluation of the counterextension.

STUDY 2A

An alternative explanation for some of the results from Study 1 is that participants in the condition in which the previous extension was a success rated the counterextension favorably because an extension of a brand in a related category, laundry detergents, was previously well received and not because that extension was specifically successful in the dishwashing detergent category.[7] I conducted a follow-up study to assess whether the evaluation of the dishwashing detergent brand's extension into the laundry detergent category depended on the category into which the laundry detergent brand had previously successfully extended.

Design and Procedure

The stimuli and the procedure for the study were similar to those used in Study 1. I used a 3 × 1 between-subjects design and manipulated the category into which Tide launched a previous successful extension (dishwashing detergent versus window cleaners versus control [no previous extension]).[8] The sample consisted of 75 adult men and women who were approached in a shopping area and paid $5 for their cooperation. Again, the key dependent measure was the evaluation of the Cascade laundry detergent (Cronbach's $\alpha = .91$).

Results

Overall evaluation of the Cascade extension. I computed the difference scores between the reported evaluation ratings for each of the two treatment conditions and the mean evaluation in the control condition.[9] I analyzed the difference score using a one-way ANOVA with familiarity with the Cascade brand as a covariate ($F(2, 47) = 13.84$, $p < .01$).[10] The covariate had a marginally significant effect ($F(1, 47) = 3.24$, $p < .10$). Although the mean difference score in the condition in which Tide was successful in the dishwashing detergent category ($\bar{X} = 1.10$) was greater than zero ($t_{24} = 6.67$, $p < .01$), it was statistically indistinguishable from zero in the condition in which Tide was successful in the window cleaners category ($\bar{X} = .09$, $t_{24} = .85$, $p > .10$).

[7]I thank an anonymous reviewer for raising this possibility.

[8]The window cleaner category was selected on the basis of a series of pretests that were similar to those used in Study 1. The pretests showed a moderate level of similarity between laundry detergents and window cleaners ($\bar{X} = 4.63$) and symmetry in the skill transferability from laundry detergents to window cleaners ($\bar{X} = 4.55$), and vice versa ($\bar{X} = 4.70$, $t = .50$, $p > .10$). The similarity between dishwashing detergents and window cleaners was moderate ($\bar{X} = 3.90$). The other pretested categories were floor polishes, hand-washing liquid, and carpet cleaners.

[9]The mean evaluation of the Cascade extension in the control condition was 4.61.

[10]A one-way ANOVA for the evaluation of the control brand showed no effects ($F(3, 71) = .59$, $p > .10$).

Table 2
MEDIATION ANALYSIS RESULTS FOR STUDY 2A

	Regression Coefficient[a]		
Variable	*Similarity*	*Evaluation*	*Evaluation*
Dishwashing detergent[b]	.64*	.59*	.17
Similarity			.66*

*$p < .01$.

[a]The numbers are standardized regression coefficients. "Similarity" and "Evaluation" represent the difference scores for the respective variables.

[b]The variable is a 0–1 dummy; it is equal to 1 when the previous Tide extension was in the dishwashing detergent category and is 0 otherwise.

Mediation analysis. The results from a mediation analysis that I conducted using the difference scores for the two conditions, excluding the control, appear in Table 2. The results show that the dummy variable that represents the condition in which Tide was successful in the dishwashing detergent category had a significant effect on the difference scores for both intercategory similarity and overall evaluation ($p < .01$). However, when the difference score for similarity was added to the regression model for the difference score for evaluation, the parameter for the dummy variable weakened and was no longer statistically significant ($p > .10$). However, the parameter for the difference score for similarity was statistically significant ($p < .01$).

Discussion

The results from Study 2A show that the evaluation of Cascade laundry detergent improved when the previous extension of Tide was successful specifically in the dishwashing detergent category but not when it was successful in the window cleaner category. This finding helps rule out an alternative explanation that the favorable evaluation of the counterextension in Study 1 may have been influenced merely by the prior success of a laundry detergent brand extension and not by the category into which that extension was successful. Again, the results help implicate intercategory similarity as the mediator between the manipulated variables and the evaluation of the Cascade extension into the laundry detergent category.

STUDY 2B

Although the use of real brand names made Study 1 realistic, it is possible that the results were driven in part by participants' non-category-related, brand-specific associations about the brands that were used to construct the stimuli. Therefore, I conducted a second study to assess whether I could replicate the results from Study 1 without using real brand names.

Design and Procedure

The study design was similar to that of Study 1 except that the products in the stimuli were referred to by their category names and size rather than by their brand names. For example, I replaced Tide with "a major laundry detergent brand" and Electrasol with "a minor dishwashing detergent brand." The participants were 260 adults who were approached at a shopping area and paid $5 each for their cooperation. The key dependent measure was the evaluation

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of a dishwashing detergent brand's counterextension into the laundry detergent category (Cronbach's $\alpha = .93$).

Results

Overall evaluation of the brand counterextension. I computed the difference score for the overall evaluation of the counterextension for the eight conditions, excluding the two control conditions, using a procedure similar to that used in Study 1.[11] I analyzed the difference scores using a 2 (outcome: success versus failure) × 2 (extension brand: major versus minor) × 2 (counterextension brand: major versus minor) ANOVA ($F(7, 200) = 51.31$, $p < .01$).[12] The results appear in Table 3, Panel A. They show that the main effects, all two-way interactions but one, and the three-way interaction were significant ($p < .01$).

The pattern of the mean difference scores for overall evaluation was similar to that displayed in Figure 1. Consistent with H_1, the difference score was significantly different from zero ($\bar{X} = .88$, $t_{103} = 14.96$, $p < .01$) when the detergent brand's extension into the dishwashing detergent category was successful, but it was indistinguishable from zero ($\bar{X} = .04$, $t_{103} = 1.13$, $p > .10$) when the extension was a failure. Consistent with H_3, the difference score was higher when the preceding successful extension was launched by a major brand ($\bar{X} = 1.24$) rather than by a minor brand ($\bar{X} = .52$, $F(1, 100) = 94.30$, $p < .01$). However, when the preceding extension was a failure, the difference score in the condition in which it was launched by a major brand ($\bar{X} = .07$) was indistinguishable from the condition in which it was launched by a minor brand ($\bar{X} = .02$, $F(1, 100) = .38$, $p > .10$).

As I predicted in H_4, the difference score was higher when the counterextension was launched by a major dishwashing detergent brand ($\bar{X} = .59$) rather than by a minor dishwashing detergent brand ($\bar{X} = .35$, $F(1, 200) = 17.56$, $p < .01$). In addition, consistent with H_{5a}, the difference between the evaluation of the counterextensions under the success versus failure conditions was greater for the major brand ($\bar{X}_{major/success} = 1.17$; $\bar{X}_{major/failure} = .01$) than for the minor brand ($\bar{X}_{minor/success} = .60$; $\bar{X}_{minor/failure} = .09$; $F(1, 200) = 34.21$, $p < .01$). Finally, consistent with H_{5b}, the difference between the evaluation of the counterextensions of the major and minor counterextension brands was higher when the previous successful extension was launched by a major laundry detergent brand ($\bar{X}_{major\ extension/major\ counterextension} = 1.62$; $\bar{X}_{minor\ extension/major\ counterextension} = .71$) rather than by a minor brand ($\bar{X}_{major\ extension/minor\ counterextension} = .87$; $\bar{X}_{minor\ extension/minor\ counterextension} = .33$; $F(1, 100) = 5.66$, $p < .05$).

Mediation analysis. I conducted a mediation analysis using a procedure similar to that used in Study 1. The results from the regressions appear in the first two columns of Table 3, Panel B. They show that the outcome of the previous extension and its interaction with the brand that

[11]The mean evaluation of the counterextension in the control condition was 4.59 when the counterextension brand was a major brand and 3.77 when it was a minor brand.

[12]A one-way ANOVA of the data for the overall evaluation of the control product showed no effect of the manipulations ($F(9, 250) = .94$, $p > .50$).

Table 3
STUDY 2B

A: ANOVA Results for Evaluation of the Laundry Detergent Extension[a]

Variable	*Mean Square*	*d.f.*	*F-Value*
Prior extension outcome (success versus failure)	36.38	1	217.53*
Extension brand (major versus minor)	5.88	1	35.21*
Counterextension brand (major versus minor)	2.93	1	17.56*
Outcome × extension brand	7.88	1	47.14*
Outcome × counterextension brand	5.72	1	34.21*
Extension brand × counterextension brand	.03	1	.18
Outcome × extension brand × counterextension brand	1.23	1	7.36*

B: Mediation Analysis Results

	Regression Coefficient[b]		
Variable	*Similarity*	*Evaluation*	*Evaluation*
Prior extension outcome (success versus failure)	.51*	.20**	.01
Extension brand (major versus minor)	.03	.06	.05
Counterextension brand (major versus minor)	–.05	.03	.06
Outcome × extension brand	.36*	.30*	.17***
Outcome × counterextension brand	–.02	.22**	.11
Extension brand × counterextension brand	–.03	–.16***	–.15***
Outcome × extension brand × counterextension brand	.08	.30*	.17***
Similarity			.22**
Similarity × counterextension brand			.35*

*$p < .01$.
**$p < .05$.
***$p < .10$.
[a]The dependent variable is the difference score for the overall evaluation of the counterextension.
[b]The numbers are standardized regression coefficients. "Similarity" and "Evaluation" represent the difference scores for the respective variables. The coefficients in the first two columns are from estimation using seemingly unrelated regression.
Notes: d.f. = degree of freedom.

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launched it had an effect on the difference scores for similarity and on the overall evaluation of the counterextension. However, when the difference score for similarity and its interaction with the dishwashing detergent brand were added as additional explanatory variables to the regression of the difference score for overall evaluation, the two effects were weakened and only marginally significant ($p < .10$). However, the parameter for the difference score for similarity was statistically significant ($p < .01$).

Discussion

The results from Study 2B closely replicate those from Study 1, and they further support the hypothesis that the success of an extension improves customer evaluation of a counterextension. I observed this effect with both real brand names and no brand names. In both cases, participants evaluated the counterextension more favorably when the preceding extension was launched by a major rather than a minor brand. Finally, they evaluated counterextensions of major brands more favorably than those of minor brands. The results from the mediation analyses in both studies support the premise that intercategory similarity mediates the relationship between the success versus failure of an extension and the evaluation of the counterextension.

STUDY 3

Keller and Aaker (1992) find that the fit between a brand and a far extension improves if a brand successfully launches intervening extensions. When viewed within the context of this article, the finding suggests that a brand potentially faces a counterextension risk not only from the category it directly extends into but also from other categories into which other brands from the extension category may extend. Specifically, if a brand belonging to Category A successfully extends into Category B and another brand belonging to Category B successfully extends into a new category, C, then customer perceptions of the similarity and fit between Categories A and C will improve. An improvement in the perceptions of fit between Categories A and C will result in a favorable evaluation of what I call a secondary counterextension from C into A. However, if either of these two extensions were to fail, Category C would remain distinct from Category A, and the evaluation of the secondary counterextension from C into A would be less favorable. I designed Study 3 to test this hypothesis.

H_6: Customer evaluation of a brand counterextension from Category C into Category A is more favorable if the preceding extensions of a brand from Category A into Category B and of another brand from Category B into Category C are both successful than if either or both extensions are a failure.

Pretests

In this pretest, 24 participants were presented with a list of brands of products sold in the supermarket, and they were asked to list all the products that they associated with each. A second sample of 25 participants was presented with a list of products related to the brands in the first pretest, and they were asked to list the brands that they associated with each product. On the basis of the pretests, I selected potato chips, pretzels, and crackers as the three products and Ruffles, Rold Gold, and Ritz, respectively, as the three brands. All brands had strong brand-to-category association as well as category-to-brand association.

A new sample of 55 participants reported the perceived pairwise similarity for the three chosen products and the difficulty for a manufacturer in one category to make a product in each of the remaining two. I measured similarity using the same four-item scale that I used in Study 1 (Cronbach's α: .87 to .93). The average similarity between potato chips and pretzels ($\bar{X} = 4.02$), between pretzels and crackers ($\bar{X} = 3.87$), and between potato chips and crackers ($\bar{X} = 3.85$) was moderately high. The perceived difficulty for a manufacturer in one category to make a product in the other two, which I measured using a seven-point scale ranging from "not difficult at all" to "very difficult," was also moderately high (between 3.76 and 4.00). Furthermore, for each category pair ij (i = 1, ..., 3, j = 1, ..., 3), the difficulty rating from i to j was statistically no different from the difficulty rating from j to i ($p > .10$).

Sample and Procedures

The procedures, sampling frame, and measures for Study 3 were similar to those used for Study 1. I manipulated the outcome of a brand extension from Category A (crackers) into Category B (pretzels) and of another brand from Category B into Category C (potato chips) using a 2 × 2 between-subjects design with two control groups. In one control group, there was no previous brand extension, and in the other, the brand from Category A was described to have successfully entered Category C directly.

The participants were 150 adults who were approached in a shopping area, paid $5 each for their cooperation, and randomly assigned to one of the conditions. The cover story contained information about three successful and three failed extensions and about the extensions of Ritz and Rold Gold, which were manipulated according to the experimental design. It also listed two new products, a brand extension of Ruffles into the crackers category and a control product, both of which were expected to be launched into the market soon. The key dependent measure was the evaluation of a Ruffles extension into the crackers category (Cronbach's $\alpha = .85$).

Results

Overall evaluation of the Ruffles extension. I computed the difference scores between the overall evaluation of the Ruffles extension and its mean evaluation in the control condition in which there was no previous extension.[13] A one-way ANOVA of the difference scores for the five conditions, excluding the control, with familiarity with the Ruffles brand as a covariate was significant ($F(5, 119) = 13.86$, $p < .01$).[14] The effect of the covariate was not significant ($F(1, 119) = 2.09$, $p > .10$).[15] The mean difference score in the condition in which both the Rold Gold and the Ritz extensions were successful ($\bar{X} = .87$) was greater than zero

[13]The mean evaluation in the control condition was 4.67.

[14]The results from an ANOVA of the data for the evaluation of the control brand showed no effects ($F(6, 143) = .80$, $p > .10$).

[15]The covariate did not interact with the treatment or treatment interactions.

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($t_{24} = 5.27$, $p < .01$) but lower than in the condition in which Ritz had directly entered into the potato chips category ($\bar{X} = 1.27$, $F(1, 47) = 5.13$, $p < .05$). The mean difference scores in the remaining three conditions were each indistinguishable from zero ($-.17 < \bar{X} < .12$, $p > .10$ for each).[16]

Mediation analysis. I conducted a mediation analysis using the data on the difference scores for overall evaluation and similarity from the five cells, excluding the control group. The results appear in Table 4. They show that the dummy variable that represents the condition in which both previous extensions were successful and the one that represents the condition in which Ritz had directly entered the potato chips category had a significant impact on the difference scores for overall evaluation and similarity ($p < .01$ for each). However, when the difference score for similarity was added to the regression for the difference score for evaluation, the coefficients weakened and were only marginally significant. However, the coefficient for the difference score for similarity was statistically significant ($p < .01$).

Discussion

The results from Study 3 generalize the findings from Study 1 and show that a successful extension increases the risk of counterextensions not only from the category that a brand directly extends into but also from categories into which brands from the focal extension category may extend. However, the findings also imply that the risk from a superior evaluation of such secondary counterextension may be somewhat lower than that from primary counterextensions. The results from Study 3 also corroborate those from Study 2A, because a successful extension of Ritz into pretzels or of Rold Gold into crackers was not sufficient to improve the evaluation of the Ruffles extension into the crackers category. It was only when both extensions succeeded that the evaluation of the Ruffles crackers improved.

[16]I was able to replicate the key result from this study with a new set of three related categories: tomato ketchup, salsa, and pasta sauce. The three brands that I used were Heinz, Pace, and Ragu. The secondary extension of Pace into the ketchup category was evaluated more favorably when the previous extensions of Heinz into the pasta sauce category and of Ragu into the salsa category were both successful than in the three conditions in which either or both of the previous extensions failed.

Table 4
MEDIATION ANALYSIS RESULTS FOR STUDY 3

	Regression Coefficient[a]		
Variable	*Similarity*	*Evaluation*	*Evaluation*
Both Rold Gold and Ritz extensions successful[b]	.40*	.31*	.07
Rold Gold successful, Ritz failure	–.14***	–.12	–.04
Rold Gold failure, Ritz successful	–.07	–.11	–.07
Ritz direct extension successful	.55*	.47*	.16***
Similarity			.57**

*$p < .01$.
**$p < .05$.
***$p < .10$.
[a]The numbers are standardized regression coefficients. "Similarity" and "Evaluation" represent the difference scores for the respective variables. The coefficients in the first two columns are from estimation using seemingly unrelated regression.
[b]The first four variables are 0–1 dummies.

STUDY 4

In Study 4, I examine the impact of the outcome of an extension on parent brand dilution. The specific objective is to test whether the success versus the failure of an extension has an impact on the choice share of the parent brand following the launch of the counterextension.

Design and Procedure

The stimulus material and the cover story for Study 4 were similar to those used in Study 1. However, instead of making brand evaluations, participants were asked to imagine a situation in which they ran out of laundry detergent and needed to go to the neighborhood store to buy some. They were told that three brands—Tide, Purex, and Cascade—were available in the store at prices of $6.99, $4.99, and $5.99, respectively.[17] Participants reported the brand they would buy.

The study involved four cells in a between-subjects design. I manipulated the outcome of the Tide dishwashing detergent across three cells (success versus failure versus control). There was no mention of a Tide dishwashing detergent in the control condition. In the fourth cell, there was no mention or availability of a Cascade laundry detergent or a Tide dishwashing detergent, and participants made a choice between Tide and Purex laundry detergents. This cell provided the baseline choice shares of the two brands. A total of 176 adult men and women who were approached at a shopping area participated in the study and were paid $3 each for their cooperation.

Results

The choice shares of the brands in the four conditions appear in Table 5. I was able to reject the null hypothesis that the pattern of choices across the four conditions was the same ($\bar{X} = 32.25$, $p < .01$). Although Tide's share in the condition in which the Tide dishwashing detergent was previously successful (40.9%) was lower than its baseline share (63.6%, $z = 2.13$, $p < .01$), its share in the condition in which the dishwashing detergent was a failure (56.8%) was no different from its baseline share ($z = .65$, $p > .10$). The share of Purex in the condition in which the Tide extension was successful (22.7%) was marginally lower than its baseline share (36.4%, $z = 1.40$, $p < .10$). The combined choice share of the two incumbents, Tide and Purex, was lower in the condition in which the Tide extension was successful (63.6%) than in the control condition in which Cascade was available but there was no Tide extension (95.5%, $z = 3.70$, $p < .01$). However, there was no difference between the combined choice share in the condition in which the Tide

[17]I selected the prices for Tide and Purex on the basis of observed store prices, and I priced Cascade as an average of the two. Although the actual choice shares of the three brands are a function of their respective marketing mix, the purpose of the study was limited to the assessment of whether the success of a Tide extension into the dishwashing detergent category dilutes the brand and lowers its choice share in the laundry detergent category.

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Table 5
LAUNDRY DETERGENT CHOICE SHARES FOR STUDY 4

	Choice Share			
Brand	*Baseline (No Cascade)*	*No Tide Extension*	*Tide Extension Successful*	*Tide Extension Failure*
Tide	28 (63.6)	26 (59.1)	18 (40.9)	25 (56.8)
Cascade	0 (.0)	2 (4.5)	16 (36.4)	4 (9.1)
Purex	16 (36.4)	16 (36.4)	10 (22.7)	15 (34.1)
Total	44 (100.0)	44 (100.0)	44 (100.0)	44 (100.0)

Notes: The table lists the number of participants in each condition who chose the brand. The numbers within parentheses are column percentages.

extension was a failure and the control condition (90.9%, $z = .84$, $p < .01$).

Discussion

The results from Study 4 show that both incumbent laundry detergent brands lost greater choice share to a Cascade counterextension when the previous Tide dishwashing detergent was a success than when it was a failure. This finding complements those from the previous four studies and shows that a successful brand extension may not only improve the evaluation of a counterextension but also result in a greater dilution in the parent brand's equity and a loss in share to the counterextension than a failed extension would.

GENERAL DISCUSSION

In this article, I present a new perspective on the reciprocal effects of brand extensions and show that a successful extension can indirectly dilute a brand by reducing the perceptual separation between the parent and extension categories and by improving customer evaluation of a counterextension. The findings offer an important caveat to previous research that suggests that successful extensions benefit the parent brand, and the findings provide evidence that a failed extension may indeed result in a lower evaluation of a counterextension. Therefore, I suggest that reciprocal effects of extensions should be considered more broadly within the context of competition across category boundaries to account for the counterextension risk.

Theoretical Contribution

The principal contribution of this research is to the literature on the reciprocal effects of brand extensions. In contrast to previous work in the area that examines the effects of undesirable characteristics of an extension on brand dilution, I show that the success of an extension, a desirable characteristic, can indirectly dilute a brand. The findings suggest that successful brand extensions serve to build "bridges" across product categories that lower the entry barriers for counterextensions. Furthermore, a bridge built into a specific extension category also exposes the brand to secondary counterextensions from categories that may be connected to the focal extension category through previous or subsequent extensions. Therefore, although a successful extension strengthens a brand against its current competitors (Dillon et al. 2001; Morrin 1999; Swaminathan, Fox, and Reddy 2001), it might weaken it against future counterextensions.

The findings also contribute to the literature on product categorization and suggest that perceptions of the product category structures and intercategory separation depend on how brands are overlaid across them. The findings provide an additional perspective on brand effects and category effects in the evaluation of brand extensions (Broniarczyk and Alba 1994; Park, Milberg, and Lawson 1991) and imply that intercategory similarity may be not only an antecedent but also a consequence of the success or failure of an extension. Furthermore, because changes in intercategory similarity depend on whether the previous extension was launched by a major or a minor brand, the findings imply that the category effect for a brand counterextension may depend on the brand effect of a previous extension.

The findings also add to the research on a sequence of brand extensions. Much like intervening extensions launched by the focal brand can improve the fit for a far extension (Keller and Aaker 1992), a previous extension launched by a brand from the extension category can have an analogous effect. In other words, the evaluation of a brand extension is affected not only by prior intervening extensions but also by previous extensions of brands belonging to the targeted extension category.

Managerial Implications

The brand extension decision is not trivial, because it exposes the parent brand to the risks from potentially negative or undesirable associations transferred from inconsistent or failed extensions (Farquhar, Herr, and Fazio 1990; Loken and John 1993). The studies in this article raise a note of caution about even successful extensions and show that they can increase a brand's vulnerability to future counterextensions. The findings have implications for how managers estimate the overall risk from a brand extension, account for the extension's contribution to the brand portfolio, select categories to extend into, and make final implementation decisions.

The notion of counterextension risk provides a new perspective on brand dilution and helps articulate the overall risk from a brand extension. Although several factors may exacerbate or mitigate the extent of this risk, I show that one such factor is the outcome of a brand's own extension. Specifically, a successful extension, unlike a failed one, can potentially harm a brand by altering intercategory similarity and lowering the entry barrier for counterextensions. To some extent, the counterextension risk is analogous to the cannibalization risk from line extensions. Therefore, much like line extensions are evaluated on the basis of their incremental contribution to sales after compensating for canni-

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balization (Reddy, Holak, and Bhat 1994), the evaluation of brand extensions should account for the loss to counterextensions.

The findings also suggest that managers should consider the counterextension risk when they select product categories for launching extensions. Specifically, it might be useful to avoid categories that are dominated by large brands that are capable of mounting strong counterextensions as well as those that may facilitate secondary counterextensions because they are already well linked to others categories. However, as the findings show, the counterextension risk may not be brand specific but rather category specific. In other words, a successful extension, especially by a major brand, can potentially dilute the equity not only of the focal parent brand but also of other brands in the parent category. Therefore, managers of major brands should consider restraining their use of extensions to help maintain category distinctiveness and lower the risk from counterextensions.

Limitations

Although the findings from the studies in this article support the key hypotheses, there are several limitations of this work. First, given that this is an initial inquiry into counterextensions, I focused on product categories in which skill transferability was symmetric. To that extent, the results may not generalize to categories across which customers believe skill transferability to be asymmetric. Second, the results may not generalize to situations in which customers do not use category-based associations to evaluate extensions, either because such associations are not easily accessible or because the brands in question are broad based, not category focused (Ahluwalia and Gurhan-Canli 2000; Meyvis and Janiszewski 2004). Third, the overall risk from a counterextension depends both on the probability that a counterextension will be launched and on its conditional evaluation by the customer. Whereas this article focused on the conditional evaluation, further research should explicitly examine the factors that influence the probability of a counterextension launch. Fourth, the robustness of the experimental results must be established by accounting for other cues and customers' product-adoption patterns (Klink and Smith 2001).

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